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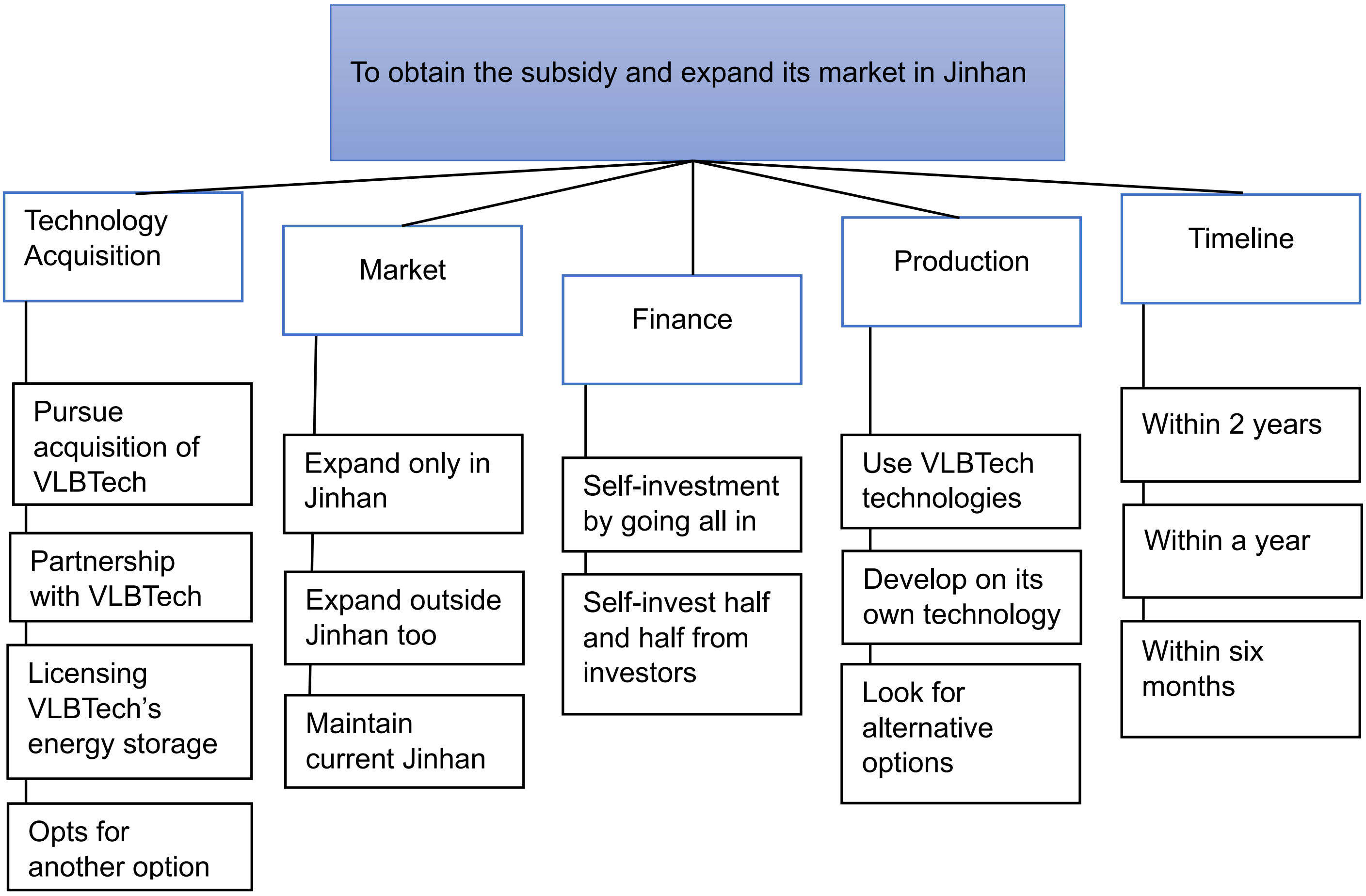
Opportunity Statement

Achieved Result	SustainVolt is one of the major renewable energy suppliers in the UK, with a 25% market share. It also operates in Jinhan, with a 4% market share. It uses efficient technology to generate electricity using solar and wind energy.
Disturbing Event	Jinhan's government has approved a large subsidy for energy suppliers, but only if they implement energy storage capabilities to their renewable sources. SustainVolt does not have the necessary battery technology to qualify for the subsidy.
Desired Result	To increase SustainVolt's market share and revenue in the region by securing the Jinhan subsidy by acquiring or integrating energy storage technology.
Key Question	Should SustainVolt acquire VLBTech to gain access to advanced battery technology or investigate other options for implementing energy storage?
Stakeholders	Internals • SustainVolt's CEO • Executives • Employees • Shareholders Externals • VLBTech leaders and Employees • Government of Jinhan • Customers
Constraints	• Limited budget • Cultural Difference
Decision Criteria	• Potential to increase the market share of SustainVolt in Jinhan. • Quick implication to obtain the subsidy • Return on investment • Competence of technology

Key Decision Areas for SustainVolt:



Solution Proposed:

Solution 1. Acquisition of VLBTech and focusing on Jinhan:

a) Technology acquisition: Pursuing full acquisition of VLBTech to protect the exclusivity of cutting-edge technology.
b) Market: Focusing only on expanding in Jinhan to increase market share.
c) Finance: Fund through self-investment to ensure full control over the resources and strategies.
d) Production: Use VLBTech's technology to meet Jinhan's subsidy requirement.
e) Timeline: Implement this within a year to gain a competitive edge.

Advantages:

- Full control over cutting-edge technology, resulting in a sustained competitive edge.
- Only focusing on Jinhan's market, maximizes the impact of the subsidy.
- Long-term Cost saving.

Challenges:

- The acquisition is going to cost

- Rely on VLBTech’s capabilities in producing cutting-edge technology.
- Has a high risk.

Solution 2. Partnership with VLBTech

a) Technology acquisition: Partner with VLBTech to co-develop and collaborate on Jinhan’s energy storage solution.
b) Market: Expand both in Jinhan and other markets to take advantage of the exclusive technology
c) Finance: Self-invest half the funding and get the other half from investors to reduce risk.
d) Production: Use VLBTech’s technology initially while exploring others on the side for the future.
e) Timeline: Implement it within 2 years to meet the subsidy requirement.

Advantages:

- Lower cost compared to acquisition.
- Shared risk and responsibility of the technology.
- Will be able to understand better before committing in the future.

Challenges:

- Has to share control over the technology.
- Increased long-term cost as a result of shared profits.
- Execution will take time.

Solution 3. Licensing with VLBTech:

a) Technology acquisition: License VLBTech’s energy storage technology to obtain the subsidy.
b) Market: Focus on Jinhan expansion only.
c) Finance: Self-fund entirely.
d) Production: Use VLBTech’s technology
e) Timeline: Implement it in six months.

Advantages:

- Quick and low-risk solution to use the exclusive technology.
- Quickest to obtain the subsidy without much investment.
- Focused approach to penetrate the Jinhan market.

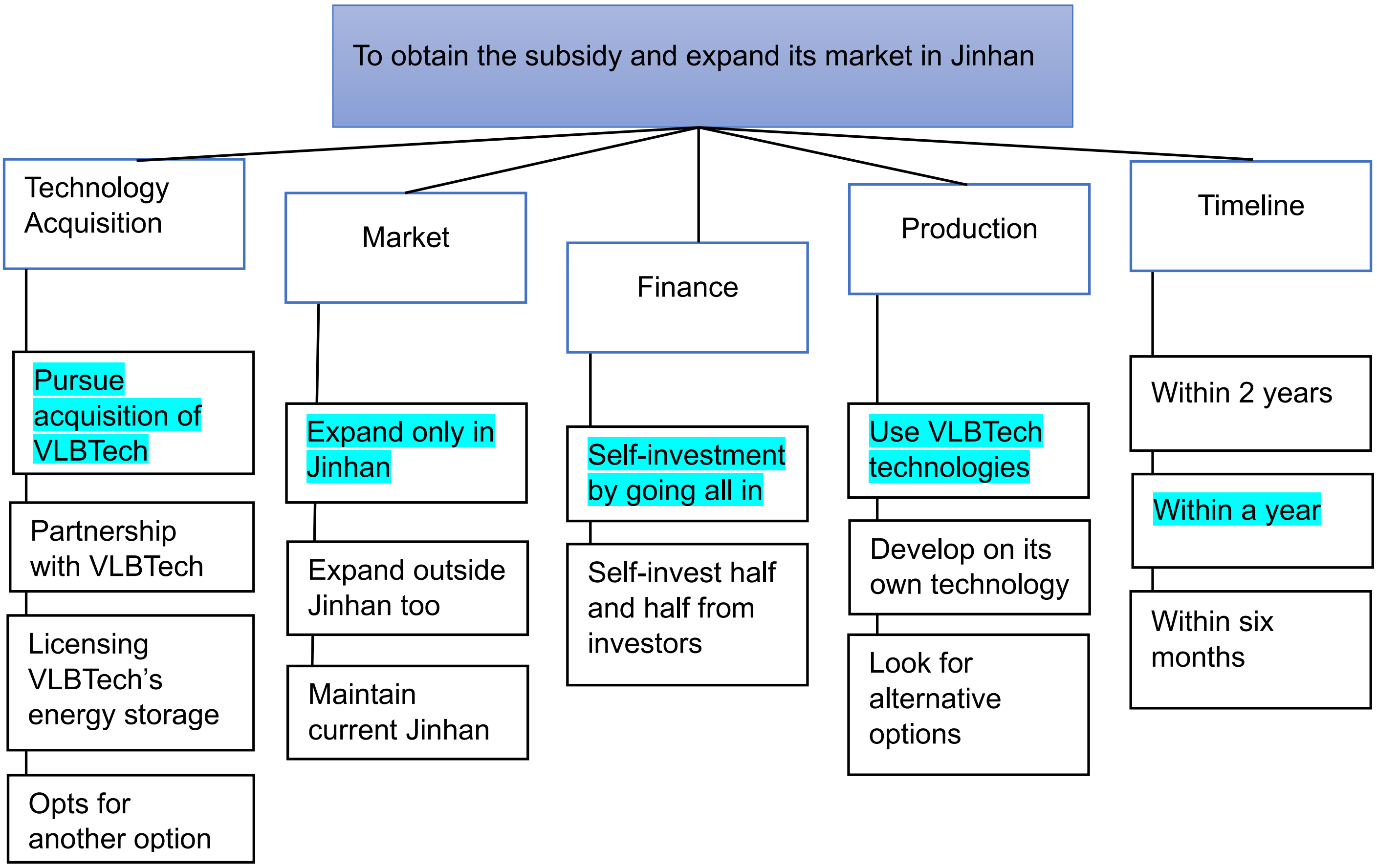
Challenges:

- Lack of exclusivity could weaken the strategy.
- Long-term licensing will reduce its profit margins.
- Will not have much control over the technology.

Recommended Solution:

1. Acquisition of VLBTech and focusing on Jinhan:

Technology acquisition: Pursuing full acquisition of VLBTech **->** Market: Focusing only on expanding in Jinhan **->** Finance: Fund through self-investment **->** Production: Use VLBTech's technology **->** Timeline: Implement within a year.



Logistical Structure of Assumptions Made for the Recommended Solution:

Acquisition of VLBTech and Focusing on Jinhan

Technology Acquisition

- VLBTech's innovative technology of energy storage is scalable, reliable.
- The battery meets the subsidy guidelines.
- Integrate seamlessly with SustainVolt.

Market

- Jinhan's market shows immense potential where subsidy acts as a catalyst.
- The exclusive renewable energy solution will be valued by customers and will attract customers.
- Demand will grow leading to increase in market share.

Finance

- SustainVolt's current financial capability is sufficient for the acquisition.
- Good ROI due to increase in market share, justifying the investment.
- Long-term cost saving from acquiring VLBTech.

Operational Integration

- VLBTech staffs are capable to manage the additional workload in Jinhan.
- Existing communication channels and management resources are strong enough to manage the integration.
- No significant logistical or cultural barriers

Timeline

- SustainVolt meets the deadline for Jinhan's Government subsidy.
- Launching the lithium battery for renewable energy storage will give an advantage in Jinhan.

Detailed Table for each assumption made for the Recommended Solution:

Assumption	Sub-assumptions	Data Required	Data Source	Ethical Issues
Market	1. Jinhan's market shows immense potential where subsidy acts as a catalyst.	Jinhan's energy sector's growth and potential market report. Also, report on the impact of subsidy on competitors.	Market research firms (Third parties), Jinhan's government data	Ensuring impartial, exploitation-free access to data.
	2. The exclusive renewable energy solution will be valued by customers and will attract customers.	Customers are interested in reliable renewable energy solutions.	Customer Surveys, Interviews, and public domain	Protecting customer privacy during the surveys etc.
	3. Demand will grow, leading to an increase in market share.	Market trends history and competitor's analysis report	Reports, Observations, experiments, public domain	Maintaining transparency.
Technology Acquisition	1. VLBTech's innovative technology of energy storage is scalable and reliable.	Test reports to check the lithium battery's performance and efficiency.	Supplier's data	An agreement for sharing confidential documents will be needed.
	2. The battery meets the subsidy guidelines.	Jinhan's government's subsidy's technical guidelines and eligibility criteria.	Supplier's data, Jinhan's government website, public domain	Transparency from all the parties (SustainVolt, VLBTech, and Jinhan's Government)
	3. Integrate seamlessly with SustainVolt.	Report on the integration's technical capability	VLBTech and SustainVolt data	No exaggerating compatibility.

Finance	1. SustainVolt's current financial capability is sufficient for the acquisition.	Detailed financial Cost report including current cash flow and estimated acquisition cost.	SustainVolt's data, the financial department of SustainVolt	Disclose accurate financial information without alteration.
	2. Good ROI due to an increase in market share, justifying the investment.	Predict future revenue, profit margins, and impact of the subsidy.	SustainVolt's data, the financial department of SustainVolt, and observations.	
	3. Long-term cost savings from acquiring VLBTech.	Report for comparison of acquisition, partnership, and licensing costs over ten years.	SustainVolt's data, the financial department of SustainVolt, Research.	
Operational Integration	1. VLBTech staff are capable of managing the additional workload in Jinhan.	Employee assessment, workload analysis.	VLBTech's Data, interviews	Non-biased assessment of the workforce.
	2. Existing communication channels and management resources are strong enough to manage the integration.	Assessment of current and past communication channels also the management structure.	Surveys, observations, and interviews.	Maintain employee confidentiality and non-biased treatment.
	3. No significant logistical or cultural barriers	Cultural compatibility test report and logistical challenges report	Surveys, observations, and interviews.	Avoid stereotypes about cultural differences and maintain employee confidentiality and non-biased treatment.

Timeline	1. SustainVolt meets the deadline for Jinhan's Government subsidy.	Schedule for implementation, Subsidy deadline.	SustainVolt's and VLBTech's data, Jinhan's government website.	Transparency in sharing the program timeline and deadlines.
	2. Launching the lithium battery for renewable energy storage will give an advantage to Jinhan	Market research report on competitor's Timelines and strategy.	Market Researching firms, public domain.	Avoid using unethical methods to collect competitors' data.

The Cultural Factors Assessing the Acquisition of VLBTech:

Cross-cultural acquisition may face some issues due to differences in nationality. Here are a few cultural factors impacting the acquisition.

1. **Organizational Culture:**

- Decision-Making styles- Examine whether VLBTech's decision-making procedures are centralized or decentralized and whether are they similar to the SustainVolt approach.
- Risk-taking factor- VLBTech is more into risk-taking and innovation especially in its engineering procedures but SustainVolt is more focused on efficiency and a market-focused outlook.
- Workplace Formality: SustainVolt being well well-established company compared to VLBTech may have a more professional approach while communicating.

➢ Proposed Solutions:

- Conduct workshops for the leaders to understand each other's style and then formulate a similar approach aligning both companies.
- Make one leader from each company work together as co-leaders of the project to collaborate and build trust.
- Apply a mixed approach to communication such as maintaining formal communication but also starting an informal channel for normal communication.

2. **National Cultures:**
    - Language barriers- The primary language for SustainVolt is English whereas Spanish is for Chile and some other linguistic for Jinhan which creates communication problems due to fluency and accent which might lead to misunderstandings.
    - Work-life balance- Differences in work lifestyle such the UK has a work-life balance with fixed working hours, Chilean has an informal approach to work-life balance and may have extended occasionally and Jinhan has a rigid work culture with long hours and high pressure.
    - Cultural Norms- Differences in working styles, respecting hierarchy and communication styles.

➢ Proposed solutions:
- To conduct cultural sensitivity workshops and trainings to make each other aware of different workstyles and practices.
- Create new policies that introduce flexible working hours to respect everyone's preference for employees in different regions.
- Implement multi-lingual communication tools for meetings and presentations.

3. Workplace Dynamics:

- Collaboration Styles- Evaluate how VLBTech employees handle teamwork (is it an individual approach or teamwork) and does it fits with SustainVolt's cooperative approach.
- Diversity and Inclusion- Examine both the firm's inclusivity levels and how ready are they to accept more diversity.
- Employee engagement- Differences in employee motivation and rewarding techniques can disappoint employees which will make the workplace a little stressful area.

➢ Proposed solutions:
  - Form cross-functional teams to adapt collaborative practices and form trust among each other.
  - Emphasize on the positive side of the change to maintain a positive environment.
  - To form a mixed strategy and employee rewarding and motivating techniques to keep employee morale up.

4. Regulatory and Legal Frameworks:

- Labor Laws and HR policies: As all the areas have different labor laws and HR policies so it is necessary to reconcile them.
- Property Rights: Ensure all the IP created by VLBTech compiles with SustainVolt's acquisition agreement.
- Compliance Standards: Ensure all the legal and environmental laws of all the regions are followed.

➢ Proposed solutions:
  - Hire local legal guides from each region to consult with the integration and local HRs to assist.
  - Have a legal team ready to check if all the laws are being followed.
  - Maintain transparency from both sides to ensure that no one is violating any agreement policies or laws.

Conclusion:

SustainVolt can ensure a more seamless acquisition process with VLBTech by assessing these cultural factors and ensuring to implementation of the proposed solution. The key to a successful acquisition process is to utilize the strengths of both companies while removing any possible cultural barriers with proactive measures or strategies and constant supervision to oversee any potential hurdles.